

MACRO UPDATE / UNITED STATES / 8 OCTOBER 2026

Higher Yields, Uneven Effects

US Treasury repricing and the consequences
for markets and the economy.

+79 bp

10-year Treasury yield

+85 bp

30-year mortgage rate

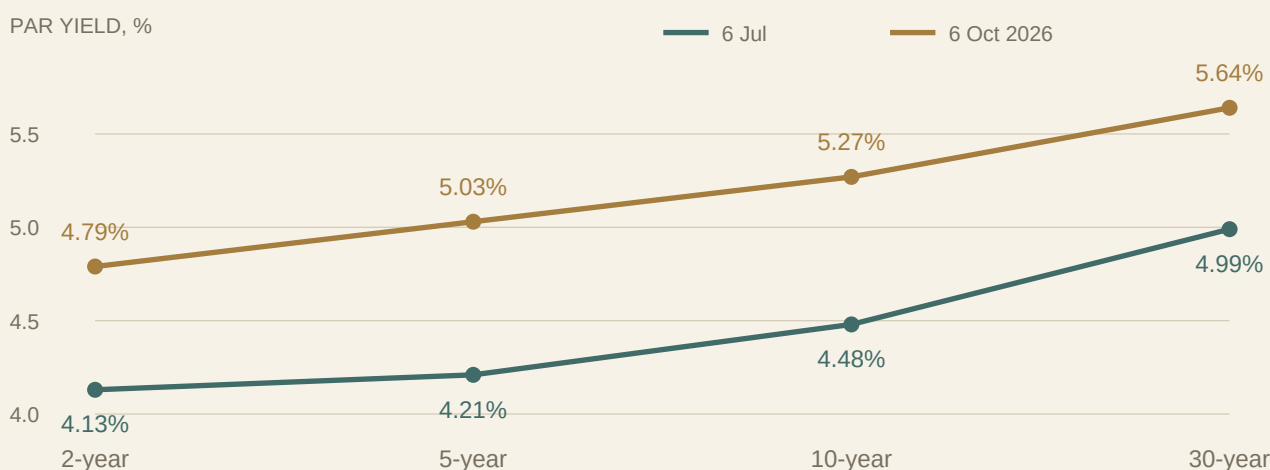
+3.73%

S&P 500 price index

Treasury and equity window: 6 July-6 October. Mortgage window: 2 July-1 October 2026.

US Treasury yields rose sharply over the three months to 6 October, while mortgage borrowing also became more expensive. Yet equities gained over the full window, August spending and selected equipment measures increased, and housing sent mixed signals. Higher financing costs are visible, but a broad downturn caused by Treasury repricing is not established. Most activity data predate the further rise in rates in September and October. This report examines the composition of the yield increase, how it may reach the economy, and the evidence needed to distinguish delayed pressure from continuing resilience.

A higher yield curve



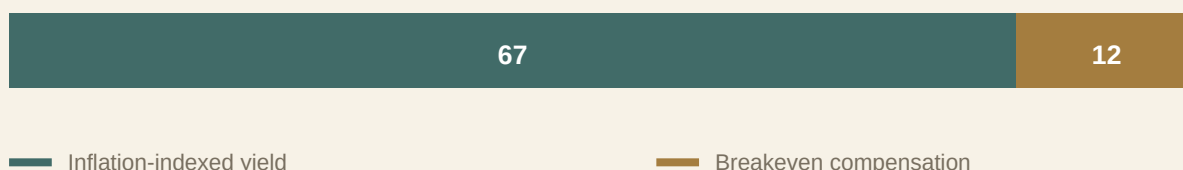
The three-month move was broad. From 29 September to 6 October, shorter yields fell while longer maturities edged higher. Horizontal spacing shows selected maturity categories, not years to maturity.

01 / READING THE REPRICING

What sits inside the rise in yields?

Inflation-indexed yields account for most of the change

+79 basis points



From 6 July to 6 October, the 10-year nominal yield rose from 4.48% to 5.27%. The inflation-indexed yield increased from 2.24% to 2.91%, while breakeven compensation moved from 2.24% to 2.36%. At the reported precision, most of the nominal change sits in the inflation-indexed component. That makes a simple explanation based entirely on rising inflation expectations incomplete. It does not prove which economic shock drove the move: breakeven compensation includes inflation risk and liquidity effects, and an inflation-indexed yield is not a clean measure of a single underlying real-rate expectation.

The model separates two components of repricing

+73.29 basis points



Between 6 July and 2 October, the Kim-Wright fitted yield rose from 4.5222% to 5.2551%. Its estimated term premium increased from 0.7261% to 1.0847%, and the implied expected-rate component rose from 3.7961% to 4.1704%. The model therefore associates the repricing with both a higher expected average short rate and greater compensation for holding long-term bonds. This is an interpretation within a revisable staff model, not a forecast of the next Fed decision. The estimates use zero-coupon yields and stop earlier than our par-yield comparison, so they cannot be treated as an exact explanation of the observed move through 6 October.

Two views of the same repricing. Do not add their contributions together. All chart figures are changes in basis points; each total equals its two components.

02 / ECONOMIC TRANSMISSION

How higher yields reach the economy

Markets can adjust before spending does

A higher market discount rate reduces the present value of a given stream of future cash flows, with those cash flows and risk premiums held constant. That is a valuation mechanism, not a prediction that every share price must fall when Treasury yields rise. Earnings expectations and the compensation investors require for risk can change at the same time. The S&P 500 gain in this report is therefore compatible with a headwind from higher rates. Without evidence on earnings revisions, sector returns and risk premiums, the aggregate index cannot identify which force outweighed the others.

Borrowing costs change decisions at the margin

Longer-term rates matter for purchases and projects that require financing over many years. More expensive borrowing can make a home less affordable or turn a marginal business investment into a less attractive commitment. The response is uneven because households and firms face different loan terms and financing needs. A new mortgage applicant encounters the current rate, while an existing fixed-rate borrower does not automatically face a larger payment. For businesses, the rates available on new funding and the timing of borrowing decisions matter. These channels explain why market repricing can create pressure without immediately reversing aggregate spending.

The economic effects arrive with a lag

Financial prices can move quickly, while consumption and investment decisions take time to adjust. The Federal Reserve describes monetary-policy transmission as operating with a lag and alongside many other influences on output and spending. Our market comparison and August activity releases therefore capture different stages of the process. Resilient earlier activity cannot settle the later effects of September and October rates. Conversely, a subsequent weak release would still need to be assessed alongside revisions and other developments. Timing makes a causal reading difficult in both directions, rather than simply postponing an inevitable contraction.

These are general transmission mechanisms and research interpretations. Their existence does not measure their contribution to the outcomes in this report. The supporting Federal Reserve frameworks are listed in Core sources.

03 / FINANCIAL MARKETS

Borrowing costs rose. Equities held up.

New mortgages became more expensive

FREDDIE MAC / AVERAGE 30-YEAR FIXED RATE



Freddie Mac's average 30-year fixed mortgage rate increased by 85 bp between 2 July and 1 October. This is the clearest observation of more expensive new borrowing in our evidence set. It matters for affordability at the point of a financed purchase, but it is not an economy-wide measure of household debt costs. Existing fixed-rate loans do not automatically reset, and the mortgage window differs from the Treasury comparison. The parallel rise in the two rates supports a financing-pressure assessment without establishing Treasury yields as the sole cause.

The S&P 500 gained over the full window

S&P 500 / PRICE INDEX, POINTS



The S&P 500 price index rose from 7,537.43 to 7,818.93 between 6 July and 6 October, a gain of 3.73% excluding dividends. The market outcome was therefore not a broad index decline over this full window. That finding should not be stretched into a claim that higher yields had no effect. Share prices reflect several changing expectations, and a rising index may still be lower than it would have been with less financing pressure. Sector-level returns and earnings revisions would be needed to assess where any sensitivity to rates was concentrated.

Other financial signals

The Chicago Fed NFCI rose 0.051 index points, from -0.545 in the week ending 4 September to -0.494 in the week ending 2 October. Conditions became less accommodative while remaining looser than their historical average. The broad nominal dollar index also rose 0.57%, from 120.6958 on 28 September to 121.3848 on 2 October. These separate windows provide context, not a common-period measure of stress. NFCI does not isolate Treasury effects, and the dollar series is neither DXY nor the dollar-rupiah exchange rate. Neither observation establishes an Indonesian market response.

04 / ECONOMIC ACTIVITY

Spending and equipment were still growing.

AUGUST MONTHLY CHANGE



Consumer spending is inflation-adjusted. Equipment orders and shipments are nominal, seasonally adjusted dollar measures; the three series are not a single growth aggregate.

Households continued to spend

Real consumer spending rose 0.6% in August, following July's revised 0.1% increase, while real disposable income was unchanged. The combination shows inflation-adjusted spending increased, but does not establish why it outpaced income growth or which households were under pressure. This release alone cannot distinguish the roles of savings, credit and other influences. It also predates the later repricing. The next test is whether real spending continues to grow after that rise in rates, alongside evidence on income, financing and household balance sheets.

Selected equipment measures also increased

Nondefense capital-goods orders excluding aircraft increased from \$86.295 billion in July to \$87.640 billion in August, or 1.56%. Shipments rose from \$84.506 billion to \$84.960 billion, or 0.54%; both series were updated on 2 October. Orders record intended purchases, while shipments record deliveries that can follow earlier decisions. Their simultaneous increases do not support a claim that both selected equipment indicators contracted in August. But these are nominal dollar measures, not inflation-adjusted volumes, and they cover only part of business investment. They therefore cannot establish that real investment as a whole was expanding.

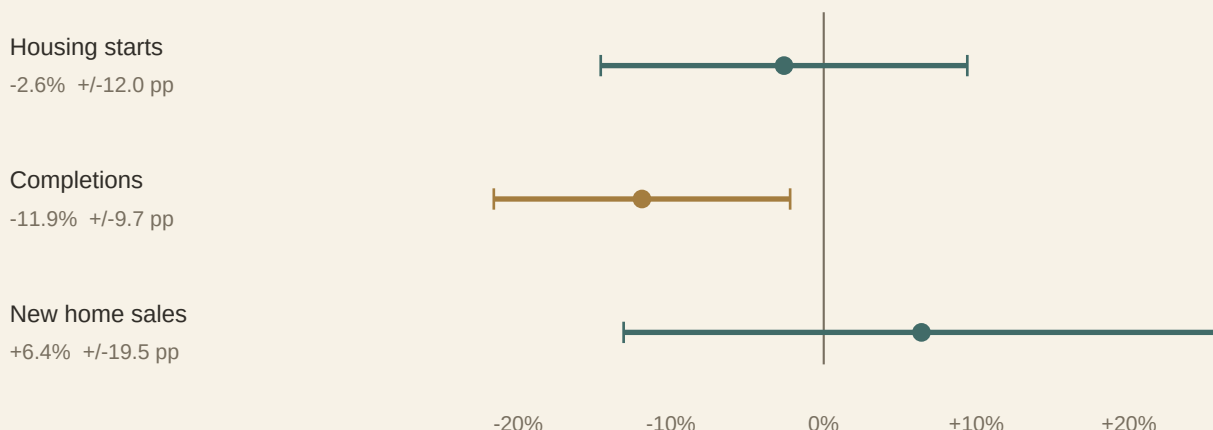
Resilience is an observation, not a causal verdict

These figures do not identify the counterfactual path under lower financing costs. Activity might have increased more without higher rates, or other influences might have offset the pressure. A deeper assessment needs later releases, revisions and broader investment and household measures. The sound conclusion is narrower: selected August indicators remained positive before the later repricing, leaving subsequent transmission to be tested rather than assumed.

05 / HOUSING

A weaker housing market? The evidence is mixed.

AUGUST MONTHLY CHANGE / 90% SAMPLING INTERVAL



Dots are point estimates. Lines show Census's 90% sampling intervals. An interval crossing zero does not establish a statistically significant monthly change.

Housing starts fell 2.6% in August, but the +/-12.0-percentage-point sampling margin gives a range that includes no change. Completions fell 11.9%, with a narrower +/-9.7-point margin that excludes zero. The difference matters: only the completions decline is statistically significant among these three plotted measures under Census's 90% convention. Treating every negative point estimate as an equally firm signal would overstate the evidence. It would also ignore timing, because completions reflect construction decisions made earlier and cannot be assigned to current borrowing rates alone.

New single-family home sales rose an estimated 6.4% to an annualised 684,000, but the +/-19.5-point sampling margin includes zero. The release does not establish a statistically clear recovery. A noisy monthly estimate can rise even when underlying conditions are difficult, and the reverse also holds. Several releases and consistent signals across measures would therefore be more informative than a single headline sales figure.

Other construction signals

Building permits fell 2.7%, while single-family starts rose 7.6% with a +/-14.0-point margin that also includes zero. These indicators describe different stages of the housing process and do not form a uniform contraction. August also predates the later repricing. A stronger conclusion would require repeated weakness, aligned financing observations and attention to revisions. The scale, timing and causes of any broader construction response remain unresolved.

Construction figures were released on 17 September; new home sales on 24 September. Annualised levels are not the actual number of homes sold or built in one month. Sampling intervals do not capture every source of statistical uncertainty.

06 / POLICY AND INFLATION

The policy backdrop is not the whole explanation.

A Fed decision within a wider market move

On 16 September, the Federal Reserve raised its target range by 25 bp to 3.75-4.00%, describing inflation as elevated and activity as expanding. The decision is relevant to the period, but it is not an explanation of every change in a Treasury yield. Our three-month comparison begins before that meeting, and longer-term rates incorporate expectations extending well beyond the next policy decision. Assigning the entire repricing to the September increase would mix an observed policy action with a much broader market adjustment. Establishing that attribution would require a different analysis of expectations and market responses.

Inflation did not move uniformly

August headline CPI rose 0.4% over the month after seasonal adjustment and 3.4% from a year earlier without adjustment. Core CPI rose 0.3% monthly, while its annual rate eased from July's 2.5% to 2.4%. These measures do not support a simple description of inflation accelerating across the board. Monthly and annual readings answer different questions, and headline and core baskets are not interchangeable. The release also cannot, by itself, explain the yield change or predict the next Fed action. Its role here is to define the inflation backdrop without turning one observation into a complete policy story.

Growth describes the economy before later repricing

Real GDP increased at a 2.2% seasonally adjusted annualised rate in Q2, compared with a revised 2.5% in Q1. These figures establish that output expanded during the earlier quarters, not that the economy was unaffected by the later rise in yields. Annualised quarterly growth is also different from a monthly spending change. Combining the measures without their timing and units would create a misleading picture of a single current growth rate. The useful comparison is sequential: establish the starting position, examine the later financing change, and then test activity releases covering the period after it.

Separate the components before judging the consequences

The composition of the repricing helps frame that test. A shift in expected average short rates and a rise in the modelled term premium are distinct accounting components, even though both can accompany higher long-term financing rates. The model does not identify which news caused either change, nor does it measure their separate contributions to spending. The analysis therefore treats these estimates as clues about how yields were repriced, while reserving judgement on the ultimate economic effects. More precise attribution would need additional evidence, rather than a stronger conclusion drawn from the same observations.

07 / OUR ASSESSMENT

Higher financing costs. An unfinished economic story.

What the evidence supports

Treasury yields and mortgage rates have risen, increasing the cost of new mortgage borrowing. The wider evidence is more uneven: equities gained over their full window, selected August spending and equipment measures increased, and housing did not show a uniform contraction. This combination supports a financing-pressure assessment while leaving the scale of the economic response open. It is a stronger conclusion than declaring either an immediate downturn or complete immunity to higher rates, because it follows the observations without extending them beyond their dates and coverage.

What remains unresolved

The missing piece is aligned evidence on activity after the later repricing. A persistent-cost scenario would raise concern if subsequent spending, investment and housing releases weakened together. A resilience scenario would become more persuasive if real activity continued to grow without broader deterioration in financial conditions. An easing scenario would require financing measures to improve, not simply an isolated decline in one yield. These are conditional paths to test, not assigned probabilities or forecasts. Each still requires attention to revisions and influences other than Treasury rates.

What to watch next

BEA schedules the first Q3 GDP estimate and September consumer-spending release for 29 October, after this report's assessment date. Those releases will narrow the timing gap, although neither will capture the entire subsequent transmission on its own. The next review should compare real spending, investment and housing across several releases and revisit financing conditions over matching dates. Indonesian spillovers remain an open question until rupiah movements, local bond yields, flows and domestic policy can be examined together. No country-specific market conclusion is established here.

SOURCE NOTES / ORIGINAL RECORDS

Core sources and reading conventions

The analysis draws on six core source institutions. Market observations use the fixed dates stated in the report, while activity figures retain their release periods and adjustment conventions. The three Federal Reserve framework documents support the discussion of transmission, valuation and policy lags; they do not establish the causes of the current market move. Named records below link directly to the underlying data and documents. Detailed observations, calculations and source locations are recorded separately in the research audit.

US Treasury

July yields / September yields / October yields

Federal Reserve and FRED

Nominal yields / real yields / breakeven / TIPS interpretation / fitted yield / term premium / model / FOMC / equities / NFCI / dollar / transmission / valuation / policy lags

Freddie Mac

Mortgage-rate archive

Bureau of Economic Analysis

GDP / consumer spending / release calendar

Census Bureau / HUD

Construction / construction notes / home sales / sales notes / equipment orders / shipments

Bureau of Labor Statistics

August CPI release

Named source records link to the underlying releases, series and analytical frameworks. Sources accessed 8 October 2026. Market cut-off: 6 October; individual series keep their stated dates. Monthly activity changes are seasonally adjusted unless stated otherwise. bp = basis points; pp = percentage points.